

TBLA · FY2025 Q4

Taboola.com Ltd. · 52 turns · 12 participants

CAST (IN ORDER OF APPEARANCE)**Operator**

Operator

Adam Singolda

Founder and CEO

Barton Crockett

Analyst, Rosenblatt Securities

James Koppelman

Analyst, TD Cowen

Mark Zagokowitz

Analyst, Benchmark

Tyler DiMatteo

Analyst, BTIG

Adam Anwar

Head of Investor Relations

Steve Walker

Chief Financial Officer

Conference Moderator**Laura Martin**

Analyst, Needham & Company

Matthew Condon

Analyst, Citizens Bank

Zach Cummins

Analyst, B. Riley Securities

OPERATOR Operator

Good day, and thank you for standing by. Welcome to Taboola's fourth quarter and full year 2025 earnings conference call. At this time, all participants are in a listen-only mode. After the speaker's presentation, there will be a question and answer session. To ask a question during the session, you will need to press star 11 on your telephone. You will then hear an automated message advising your hand is raised. To withdraw your question, please press star 11 again. Please be advised that today's conference is being recorded. I would now like to hand the conference over to your first speaker today, Adam Anwar, head of investor relations.

CONFERENCE MODERATOR

Please go ahead.

ADAM ANWAR Head of Investor Relations

Thank you, and good morning, everyone, and welcome to Tabula's fourth quarter and full year 2025 earnings conference call. I'm here with Adam Singolda, Tabula's founder and CEO, and Steve Walker, Tabula's CFO. The company issued earnings materials today before the market and they're available in the investor section of Cibola's website. Now I'll quickly cover the safe harbor. Certain statements today, including our expectations for future periods, are forward-looking statements. They're not facts and are subject to material risks and uncertainties described in our SEC filings. These statements are based on currently available information and we undertake no duty to update them, except as required by law. Today's discussion is also subject to the forward-looking statement limitations in the earnings press release. Future events could differ materially and adversely from those anticipated. During this call, we will use terms defined in the earnings release and refer to non-GAAP financial measures. For definitions and reconciliations to GAAP, please refer to the non-GAAP tables in the earnings release posted on our website. With that, I'll turn the call over to Adam.

ADAM SINGOLDA Founder and CEO

Thanks, Adam. Good morning, everyone, and thank you for joining us today. We're closing up 2025 with another strong quarter, exceeding the high end of our guidance across our key metrics. The year has been defined by

discipline execution, and more importantly, we're seeing clear early signs of acceleration in the growth of the business from our new advertising platform, Realize. In 2025, we repurchased 77 million shares for a total of \$254 million, reducing our share count by roughly 18%, while continuing to invest in R&D to support our long-term growth ambitions. Before getting into the details, let me remind you who we are. Taboola is one of the largest performance advertising companies outside of search and social. focused on the open web. Every day, billions of consumers read, watch, and engage with trusted publishers and communities across the open web. Similar to how Google and Meta understand intent within their own platforms, Taboola understands intent across the open web and turns it into measurable outcomes for advertisers. When someone reads about the Knicks, plans a vacation, or checks the latest news on their favorite local site, which transformed that moment of interest into measurable results for advertisers. That scale, that proprietary intense data, and the AI-driven conversion machine was built. That is Taboola. Turning to our results. In 2025, XTAC's gross profit reached \$740 million, up 7% year over year. and adjusted EBITDA grew 7% to \$216 million. We began the year guiding for 2% and exited the year at 7, a clear acceleration, which I'm happy about, while I believe double-digit growth is the right long-term pace for this business. We're not there yet, but our 2025 performance gives us the confidence we're going in the right directions. We also generated \$163 million in free cash flow, up 10% year-over-year, representing approximately 76% conversion from adjusted EBITDA. Looking ahead, we expect 7% excess gross profit growth and 30% adjusted EBITDA margins while continuing to invest in accelerating our growth rates and continuing our primary use of cash to aggressively repurchase shares. In 2025, Realize, our advertising platform, helped increase the number of scaled advertisers and grow the budgets we manage for them. In 2025, scaled advertisers grew 6%, with an average revenue per scaled advertisers up 2%. These results are reflected in the financial performance I shared earlier. A strong example is personal finance, one of our ideal customer profiles. Advertisers such as NerdWallet, Motley Fool, and Queen Street adopted, realized, and leveraged newer capabilities like predictive audiences and format diversification. As a result, they grew meaningfully beyond their historical spend levels, with some becoming top advertisers at Taboola. When I think about what will continue accelerating Taboola's growth, I am laser focused on improving retention rates and increasing spend over time. While many things can help, this is the most important one. Examples like these encouraging and reinforce that our strategy is working. As we look ahead, we are concentrating on these three priorities. investing in our technology to continue to advance Realize as we continue to expand our strategy to become the leading performance advertising company outside of search and social. We're investing heavily in AI-driven optimization, predictive targeting, onboarding automation, and stronger measurement and attribution to make the platform even more intelligent and easier to adopt, while directing budgets toward the best performing opportunities While I think we're making good progress, there's a lot more for us to do here, and our R&D team is hard at work rolling out capabilities that advertisers are asking us to further drive advertiser success. Second, we restructured our sales organization around ideal customer profile, where we were seeing stronger retention and spend growth over time. The advertiser outcome we delivered in 2025 are giving us clear signals on which advertisers to prioritize, how to reach them, and what success on Realize should look like. To further support these efforts, we recently welcomed Krishan Bhatia as our new Chief Business Officer, overseeing revenue and partnerships and bringing additional focus and expertise to supercharge advertiser, agency, and publisher relationships to accelerate growth. Keeping with the same example I mentioned earlier, in 2025, we generated \$120 million in personal finance revenue within a \$15 billion US market. Today, we capture only 1% to 10% of advertisers' total spend, which underscores the significant runway ahead as we deepen those relationships. At the same time, we are prioritizing new advertisers similar to the ones already succeeding on our platform and entering those conversations with a clear understanding of their goals and what performance they should expect from Realize. By focusing on the right advertisers, not just volume, we're strengthening partnerships, expanding wallet share, and positioning Taboola as a core long-term growth channel for advertisers. Lastly, on brand and perception. Since launching Realize one year ago, we've made meaningful progress in

how advertisers view Taboola. As advertisers see clear results and expand their budgets with us, we're building trust and steady positioning ourselves as a platform advertisers should test and scale beyond search and social. There is still work ahead, but realize it's proving to be a strong engine, not only for performance, but also for long-term brand credibility. As we think about our partners and open web in the context of AI, this is one of Taboola's greatest structural advantages. AI is a commodity. Anyone can download an open source of LAMA and get going. AI can replicate features. It can improve interfaces. It can even outperform some raw models we developed. But that alone just doesn't matter. Without proprietary data and distribution, it is a very powerful engine with no fuel. Our data is our fuel, and it is unique to Taboola. Hundreds of millions of times every year, people across our network make decisions to buy, subscribe, or take actions, that creates a very rare form of performance-driven intent data that directly determines advertisers' outcome. Think of it as a secret language of intent that exists only because of our deep integrations across the open web and our singular focus on performance advertisers. Without these signals, advertisers cannot effectively optimize, scale, or generate strong returns on investments. We get this data by having Code on Page integrated across 14,000 publisher properties such as ESPN, Yahoo, USA Today, The Independent, and many others, giving us first-party access to more than 600 million daily users. Those direct relationships built over many years generate real-time intent signals at massive scale. When I look at our partners, what stands out is the strength of their brands, the trust and communities they've built over many years. Users go directly to those, whether through their websites or their dedicated apps. As a result, they have little to no reliance on search traffic, while direct traffic continues to grow. These dynamics keep our company-wide exposure to search in the single-digit percentages, with about a third of our supply coming from in-app usage. In an AI-driven world, two assets ultimately matter most, proprietary data and distribution, and we have both. In summary, 2025 was not just about bidding the numbers, but further validation that our strategy is working. We executed with discipline, accelerated the business, returned significant capital to shareholders, and invested heavily in the platform shaping our future. Realize is delivering the type of results we want to see, making new and existing advertisers successful while changing how the market sees Taboola. We are still early, but we're operating with greater clarity and urgency than ever. Our mission remains to help performance advertisers grow, help publishers win, and build the leading performance advertising company beyond search and social. As more players compete for advertising budgets, they will all need a trusted friend, and Taboola is a great friend. With that, I'll hand it over to Steve.

STEVE WALKER Chief Financial Officer

Thanks, Adam, and good morning, everyone. We are pleased to close out the year on a strong note. In the fourth quarter, we continued to build on the momentum we generated throughout the year, delivering results that exceeded the high end of our guidance across our key metrics. Revenues in the fourth quarter grew 6% to \$522.3 million, and for the full year, increased 8% to \$1.91 billion. One of our key priorities this year was expanding advertiser budgets, and with the rollout of Realize, our performance advertising platform, and the introduction of new embedded features, we were able to successfully execute on that objective. This momentum was reflected in our scaled advertiser metrics in the fourth quarter, with a 3% increase in the number of scaled advertisers and a 2% increase in average revenue per scaled advertiser. We also enjoyed strong growth from non-scaled advertisers during the quarter, which contributed about 1% to our year-over-year growth. This indicates that we had a large number of advertisers testing realized for the first time, even if we have not had a chance to scale them as of yet. For the year, scaled advertisers grew 6%, and the average revenue per scaled advertiser grew 2%. Realize continued to improve retention and increase ad spend among existing advertisers compared to the same period in the previous year. As I've noted in prior quarters, we're particularly encouraged by growth in the number of scaled advertisers as they continue to be an important driver of future growth. XTAC gross profit in the fourth quarter was \$212.8 million, representing margins of approximately 41%. The fourth quarter results were flat year-over-year, as expected, due to the lapping of a

challenging comparison with a strong Q4 2024. For the full year, XTAC gross profit grew 7% to \$713.5 million. This growth was largely driven by the scaling of Realize, which drove growth in advertiser spend, as well as continued strong performance from Taboola News. Gross profit for the quarter reached \$175.6 million, with full-year gross profit totaling \$569.5 million. In addition to growth in XTAC gross profit, this performance was driven by lower depreciation expenses on our servers, following a reassessment of their useful lives, as well as tax efficiencies, both of which offset higher hosting and data costs required to support the growth and scaling of our business. In the fourth quarter, net income was \$50.1 million with non-GAAP net income coming in at \$79.1 million. For the full year, net income was \$42.3 million with non-GAAP net income coming in at \$168.6 million. Adjusted EBITDA for the quarter was \$86.1 million. For the full year, adjusted EBITDA was \$215.5 million representing a margin of 30%. This reflects continued discipline in expense management while maintaining targeted investments to support long-term growth. Foreign exchange was a meaningful headwind in the quarter. On a constant currency basis, Q4 XTAC gross profit saw a tailwind of approximately \$4 million, while operating expenses saw a headwind of approximately \$7 million, primarily reflecting the strength of the Israeli shekel, where we have a significant employee and cost base. In total, FX represented roughly a \$3.5 million headwind to Q4 EBITDA and about \$11 million for the full year. Without this FX headwind, our full year adjusted EBITDA would have been \$226.3 million, which would have represented an EBITDA margin of 31.7%. In terms of cash generation, we had \$59.7 million in operating cash flow in the fourth quarter and free cash flow of \$46.9 million. For the full year, operating cash flow amounted to \$208.4 million and free cash flow was \$163.4 million, representing a 76% conversion from adjusted EBITDA. On average, our free cash flow conversion from adjusted EBITDA has remained above 70% over the last 12 consecutive quarters. As a reminder, last quarter we indicated that we now believe we can sustainably convert free cash flow at a 60% to 70% rate over any typical four-quarter period. That is an increase from our prior expectations of 50% to 60%. Capital expenditures in 2025 included internally developed software that were capitalized during the year, and we expect these strategic investments to continue into 2026. These investments were primarily driven by three initiatives, continued development of Realize, investment in new publisher-focused product capabilities, and investments in our e-commerce platform. Turning to the balance sheet, we remain in a strong financial position. We ended the fourth quarter with a net cash balance of \$18.6 million. Cash and cash equivalents totaled \$120.9 million, which more than offset our long-term debt of \$102.3 million. Early in 2025, we secured a \$270 million revolving credit facility which enabled us to fully repay our prior term loan while maintaining approximately \$168 million of available liquidity as of December 31st. The facility also reduced interest expense by \$1.1 million in the fourth quarter and \$4.8 million for the year. We remain focused on disciplined capital allocation prioritizing R&D investments while returning excess capital to shareholders via share repurchases. In the fourth quarter, we repurchased approximately 18.6 million shares at an average price of \$3.78 for a total consideration of \$70.5 million. For the full year, we repurchased 76.9 million shares at an average price of \$3.30 which represented total repurchases of over \$250 million. In 2025, we bought back about 18% of our outstanding shares net of issuances. This reduced our total shares outstanding to approximately \$276 million at the end of 2025 from about \$337 million at the end of 2024. Since the inception of our share repurchase program in 2023, we have repurchased a total of 110.4 million shares at an average price of \$3.49 for a total consideration of \$383.5 million. We currently have approximately \$180 million remaining in our authorization and intend to continue to use a majority of our free cash flow to repurchase shares. Moving to guidance, for the first quarter of 2026, we expect revenues to be between \$444 and \$462 million, gross profit to be between \$119 and \$125 million, XTAC gross profit to be \$158 to \$164 million, adjusted EBITDA to range from \$20 to \$26 million, and non-GAAP net income to be from negative one to positive \$7 million. For the full year, we expect revenues to be between \$1.99 and \$2.05 billion. Gross profit to be between \$601 and \$621 million. Extract gross profit to be \$753 to \$774 million. Adjusted EBITDA to be \$222 to \$236 million. and non-GAAP net income to be \$165 to \$191 million. I would note that our adjusted EBITDA guidance reflects a forecasted headwind from foreign exchange rates of approximately \$11 million

in operating expenses, partially offset by XTAC tailwinds. Without this headwind from foreign exchange, adjusted EBITDA margins would have been over 31%. In summary, Q4 results exceeded the high end of our guidance across our key metrics, reflecting strong execution and continued momentum in the business. We are building on the traction we've seen with Realize and are focused on accelerating growth as our initiatives gain more traction this year. While we remain disciplined in our approach, the progress to date reinforces our confidence in our ability to return to sustainable double-digit growth over time.

CONFERENCE MODERATOR

With that, let's move to Q&A. Operator, can you please open the line for questions? Thank you.

OPERATOR Operator

At this time, we will conduct the question and answer session. As a reminder, to ask a question, you will need to press star 1 1 on your telephone and wait for your name to be announced. To withdraw your question, please press star 1 1 again. Please stand by while we compile the Q&A roster.

CONFERENCE MODERATOR

Our first question, comes from Barton Crockett from Rosenblatt.

OPERATOR Operator

The floor is yours.

BARTON CROCKETT Analyst, Rosenblatt Securities

Okay, thanks for taking the questions. Let me see. One thing I was curious about, you didn't really address it in the commentary, but, and I realize maybe this means you don't, you know, it's not a KPI, but there was a substantial variance in your revenues versus where you were guiding for the quarter. And I was just wondering if you could talk through what that variance was, why it happened, and how meaningful that is.

STEVE WALKER Chief Financial Officer

Sure, I can take that. Hi, Barton. Hi. So I think very simply it was revenue mix or mix of business. So we had more business in kind of some of our higher margin parts of our business and less revenue in some of our lower margin. So ultimately it was just mix of business. Obviously, for us, gross revenue is not the key metric. XTAC is the key metric because that's what we keep after we pay publishers. You've probably heard me say a bunch of times in the past that we can grow gross revenue by doing bad business, signing up a bad publisher deal or doing something that doesn't drive XTAC, and that's not helpful. So what we care about is XTAC. So we're obviously happy that we had the beat on XTAC, which is, is really what we focus on. The rest of it was just mix of business.

BARTON CROCKETT Analyst, Rosenblatt Securities

Okay. And then you guys gave the, um, uh, the commentary, uh, about the growth in non-scaled average, non-scaled advertisers suggesting, you know, some success with the real life initiatives to grow penetration, you know, and other elements of the page beyond bottom of page. Um, which sounds encouraging, but your guidance suggests kind of a steady revenue trajectory versus acceleration. I was wondering if you could talk through that kind of disconnect. I mean, how optimistic are you really that this can bring enough new business in to move the top line, and why isn't that reflected in the guidance that you give?

STEVE WALKER Chief Financial Officer

Yeah, so I think, you know, ultimately our guidance philosophy as a company is always to be relatively conservative. So we don't want to get ahead of ourselves. So what our guide basically implies right now for 2026 is what we're seeing from Realize at this point in time. So we've obviously seen good progress with Realize over the course of last year. We started last year guiding that 2%. We ended the year at 7% growth. We're now midpoint of our guide for 2026 is at 7%. That's because that's basically what we're seeing from Realize today. We do have initiatives that we think will help improve that over time. And Adam can probably talk to a few of those initiatives that he thinks will drive growth this year. But those are not factored into the guide yet. So for now, what we're factoring in the guide is exactly what we're seeing today. Right. Adam, did you want to talk about some of the things you think can grow?

ADAM SINGOLDA Founder and CEO

Hi, good morning. I think in general, you know, we're encouraged by seeing our investment in Realize at the center of our strategy progressing, right? So the three things I mentioned. The first one is just focusing on our technology side. And we're seeing, you know, we're seeing better retention for new advertisers, which is probably what we want to see the most. And we're seeing growth in spend over time. The second thing, and that results in scaled advertisers, which are growing, And all those things are positive signs that we're progressing in our strategy and it results in our numbers, as you can see from 2025. The second thing, you know, I just came back from Bangkok, from Madrid, from Chicago, spending time with our 600 sellers. You know, it's really incredible to spend time with our people and seeing that when you sell to the right clients, we call those ideal customer profile, we're seeing essentially, you know, we have what it takes. The chances for, again, an example, the chances for a financial advertiser to succeed with us is not too different if they were to spend with Meta, which is incredible because it means that there's so much growth for us within our existing markets that we're going after. So the second thing is just sales focus and going after the ones that we know chances for success are much higher. And the third one is continue to invest in our brand. I think it's quite, for me, always encouraging to see how many advertisers don't even know Taboola is out there. So there's so many great advertisers that should try Taboola, that will succeed with us, or they have a good chance to succeed with us. And as part of that, I think continue to invest in our brand perception and our brand in general will continue to help us attract new advertisers to try to build and succeed with us. So all those three things make us encouraged.

BARTON CROCKETT Analyst, Rosenblatt Securities

Okay. All right, thank you.

CONFERENCE MODERATOR

Thanks, Barton. Thanks. Thank you for your question. Our next question,

OPERATOR Operator

comes from Matthew Condon from citizens bank. The floor is yours.

MATTHEW CONDON Analyst, Citizens Bank

Thank you so much for taking my questions, Adam. You know, you talked about making incremental investments just behind the product features and realize, can you just dig into some of those and what we should expect from a product perspective in 2026? I think I was wondering if you could just break down a little bit more as we, as we look at realize and just like how much is coming from existing advertisers and you tapping into incremental budgets there. versus bringing in new clients onto the Zizzaboola platform. Thank you so much.

ADAM SINGOLDA Founder and CEO

Sure. I'll let Steve speak about the numbers, but the biggest investment we're making, and I think the biggest opportunity for Realize, and we'll share more throughout the year, so I want to let the team bring this to market in a more detailed way, but But in general, what I think we have the biggest opportunity is making it more automatic and simpler for advertisers to be successful. If you look at the amount of permutations that exist, when you buy from any channel, by the way, whether that's Google, Meta, Taboola, and others, it's complicated to succeed as a performance advertiser. So even right now, where Taboola has realized, I think we made a tremendous progress In terms of making advertisers successful, in my vision, I really want anyone that has a chance, like that should succeed with Taboola, to almost automatically succeed with Taboola. So I think in a world of AI where we have so much unique intent data and we have so many thousands of advertisers that are already doing well with Taboola, generating \$2 billion of conversions a year, On the other side of it, I hope that Realize is a platform that if you should succeed with us, then chances are you will succeed with us, and that will be more and more automatic, and then our good people that we have at the company can spend more of their time on strategy and being creative and going out there and help attract more new advertisers. So again, to me, the biggest thing that we'll see from Realize later will be more about automation, and making it even easier for those who should succeed with us to drive success.

STEVE WALKER Chief Financial Officer

And then to the second part of your question about whether or not growth is going to come from bringing new advertisers to the platform versus growing our existing. And I'll talk about this in the context of our scaled advertiser metrics that we release. What I would say is the precise mix is always hard to predict. Because as I've talked about in the past, as we bring on more advertisers and we scale them and they get into that scale level of performance with us, they do drag down the average. So as the number grows, the average gets dragged down because usually when we initially scale an advertiser, it's at the low end and then we grow them over time. So the exact mix is hard to predict. But in general, what I'd say is we always expect to grow the number of scaled advertisers. That's the fuel for our growth. And so I would think that a larger portion of our growth comes from growing the number and bringing more new advertisers to the platform. But we should see some growth in the average revenue per scaled advertiser over time as well. So I'd say it'll come from a bit of both. Generally speaking, probably more from the number. And then over time, we'll grow the average as well.

CONFERENCE MODERATOR

Thank you so much. Thanks. Thank you for that question. Our next question comes from the line of Laura Martin from Needham.

OPERATOR Operator

The floor is yours.

LAURA MARTIN Analyst, Needham & Company

Good morning. My first one is on generative AI. So I'm interested in how much your traffic was down in the fourth quarter and what the mix was and whether you think that that – I think Wall Street thinks that's the first step. holding onto attention and not allowing people to go to the open web. So can you talk about why the open web survives generative AI? I think that's my first question. And then my second question is about Realize. One of our goals, I think your goals in Realize was to attract display budgets, which are quite a bit larger than native budgets. And I'm interested in whether Realize is actually, are you seeing that happen, that you're getting new types of advertising rather than just staying in the narrow native advertising bucket.

ADAM SINGOLDA Founder and CEO

Those are my two. Thanks. Sure. Good morning, Laura. So I'll pick up the first one. So on the open web, we're basically – I think we have a structural advantage in where we sit in the open web. So one, I think that we're seeing traffic going up. We're seeing search traffic going down, but overall through primarily direct traffic to publishers and then just onboarding more publishers, traffic is overall going up. And the exposure we have to search traffic, which I think is the main risk that investors are tracking, for us, it's in a single digit. And a lot of it is because we work with massive platforms like Microsoft and Yahoo and Apple News. A third of our traffic is in-app. So overall, our exposure is low, and we're seeing direct traffic going up. And I think in general, what's going to happen is publishers that have trust, that have good communities around them, will continue to be important, local news, sports sites, news. They'll continue to get a lot of momentum and attention from consumers. I can also tell you AI engines, what we're seeing is what they crawl on the web as a proxy for what consumers are asking. A lot of it, a big chunk of what consumers are talking to AI is about the last 24 hours news. People want to know what's going on. So AI really needs that content. And the open web is where content exists. So I think that for trusted publishers, for bigger publishers, which is most of our business, there's a very bright future. And the second thing is that when I imagine AI being adopted by those publishers, you know, as you know, we have a product called Deeper Dive, which is essentially bringing CGPT-type technology to those bigger publishers so that consumers can converse, can talk to publishers. If you go to USA Today, you can check it out. I think there's a big kind of ARPU growth, a significant revenue generation opportunity for publishers when they actually adopt AI on their own sites. So the risk, I think, is more on the smaller sites, which we don't have exposure to, or for those who are very dependent on search, also not publishers that we work with. So I think there's a very bright future for the trusted publishers, and especially when they adopt AI in a bigger way.

STEVE WALKER Chief Financial Officer

And then to your second question, Laura, about are we seeing new types of advertisers coming on the platform? I'll talk about this in the context of the three growth drivers that Adam mentioned earlier. So he said, you know, we're focusing on ICPs, we're investing in our brand to change perception of who we are as a company, and then we're investing in tech to make advertisers more successful. I think today... That focus on ICP means we're bringing more of similar types of advertisers. So what we've done is we've got our sales teams focused on finance advertisers, travel advertisers, auto advertisers, e-commerce advertisers, the ones that we know are working well on our platform today. So today our growth in advertisers is coming more from that focus on ICPs and getting more similar types of advertisers to what we have. But what we expect over time is that as we get our brand perception shifted a bit, like getting out of the we're a native company and into the we're a performance platform type of mindset. And as our tech continues to develop and we're able to target more and more granularly on our platform, we do expect that we will expand the types of advertisers. So more types of advertisers will become ICPs and we'll start focusing on selling to them. So I'd say today, more of it is more advertisers of a similar type to what we have today, and then over time, I expect more different types of advertisers to start coming on.

LAURA MARTIN Analyst, Needham & Company

Thank you very much.

CONFERENCE MODERATOR

Thanks, Laura. Thanks, Laura. Thank you for your question. Our next question comes from the line of Tyler DiMatteo from BTIG.

OPERATOR Operator

The floor is yours.

TYLER DIMATTEO Analyst, BTIG

Great. Thanks for taking the question, guys. I wanted to start in terms of 2026, Steve. As you think about the advertising market this year and some of the one-off events, kind of FIFA, et cetera, is that baked into the guide? Is that, I guess, what level of visibility do you have into something like that today? And kind of when would that startup flowing through and then my second question for Adam on realize and the developments and just I'm thinking about this in the context of the investment cycle for that I kind of where do we stand in terms of the investments in the platform the technology etc are we going to see multiple iterations from here is everything largely ironed out those are my two thanks guys

ADAM SINGOLDA Founder and CEO

I can start with the second one. Hi, Tali. Good morning. One, I think we're all in. We're laser-focused on real life. I think that, like I mentioned earlier, if you just look at the market that we're selling into, the performance advertisers that we're going after, with the technology we have now, I think we have what it takes to grow. We spoke about seeing a reflection point into double-digit growth. I believe in our strategy, the market, and we have what it takes. Saying that, we're early in our cycle in terms of investment, in terms of there's so much more that we're going to reveal later this year and in years to come. When you compare it to Bula, Realize, to Meta, when you compare it to Google, to PMX, to some of the platforms out there that are serving 10 million advertisers when we serve 15,000 to 20,000, there's so much more that we want to do and intend to do. So I'll break to two parts. The first is that I think we have what it takes to continue to grow and to generate 30% EBITDA within that growth rate and convert 60% to 70% of that to free cash flow and use most of it to repurchase shares, which we think is a great deal for the company. And the second thing is that most of our investment, which is significant, is on technology as a technology company. And we're going to reveal a lot later in the year. And like I mentioned earlier, to me, something that's very exciting is can we make it so much easier for those who should succeed with us and become skilled advertisers to actually become ones, and that's later this year.

STEVE WALKER Chief Financial Officer

Then to your first question about are the kind of big events that are happening this year factored into our guidance, the quick, simple answer to that is yes. The way they're factored in, just to get into a little bit more detail, is like the big events this year are the Olympics, World Cup, midterm elections, those things are factored in. For us though, interestingly, it's more of a traffic driver than it is a advertising revenue driver. So if you think about the events, World Cup and Olympics tend to be big sports traffic drivers and we're, you know, we have Yahoo Sports, we have CBS Sports, we have ESPN, we have I think something like eight of the ten top sports sites in the U.S. and we have similar coverage globally. So it is a great traffic driver for us. Our advertisers, though, tend to be always on performance advertisers more so than event-driven advertisers. So it will drive more traffic, which is more impressions, and give an opportunity to drive more revenue from our advertisers. But it's not like a display network where maybe they've got event-driven advertisers. Same thing with elections. I think we've talked about this in the past. Elections drive big ad budgets, but a lot of that is branding campaigns for the candidates. We do get some things like fundraising campaigns where it's a direct response trying to get somebody to donate, but we don't get a lot of incremental revenue in terms of the advertising side. But again, it drives eyeballs and drives views, and that's what's factored into our guidance. Great. Thanks, guys. Appreciate it.

ADAM SINGOLDA Founder and CEO

Thanks.

OPERATOR Operator

Thank you for your question. Our next question comes from the line of Mark Zagokowitz from Benchmark. The line is yours.

MARK ZAGOKOWITZ Analyst, Benchmark

Thanks, guys. Good morning. A couple for me. Steve, just to follow on to the question on the scaled advertiser metrics. So your scaled advertiser growth was up year over year but down sequentially. I'm just curious if that was sort of in line with your internal expectations and what sort of the yin-yang is, I guess, balanced between those two metrics, meaning do you expect to see more of a lagging effect on the revenue side, and could that, you know, inflect at some point this year relative to that growth that you've been seeing on the actual advertisers? Second, separate question, just appreciate if you could unpack your OneQ Extech margin guidance. OneQ has guided 100 bps of expansion year-over-year at the midpoint. And considering that you're lapping Yahoo tests, I think that had a positive effect on margin. Just curious if you're seeing a mixed shift towards higher take rate publishers or if that's being driven by yield improvements. I'll just stop there and make a quick follow-up to that.

STEVE WALKER Chief Financial Officer

So I think in terms of the scaled advertiser trends, so we tend to look at that year over year because there is some seasonality to that. So looking at it sequentially quarter over quarter can be pretty deceptive, similar to our revenue itself. Like if you look at it sequentially quarter over quarter, you can see some things that may look weird. But if you look at it year over year, a lot of that normalizes. So I tend to look at it year over year. I will also just say that there is some, you know, the metrics bounce around a bit in any given quarter. So they're tough to predict on a quarterly basis. So for instance, if some of our bigger advertisers get really aggressive one quarter, they can squeeze out some smaller advertisers just because they're willing to bid more. So they're hard to predict on the numbers basis. But I think if you look at it year over year and over a longer period of time, then I think it tends to normalize. So that's the way we tend to look at it. We tend not to look at it quarter over quarter sequentially as much. In terms of our revenue XTAC guide, I think the simple answer, again, to your question about like are we seeing kind of just traction in higher margin areas, the answer is yes. So I think we're seeing kind of a shift in our business to higher margin areas. And Connexity, for instance, is 100% XTAC. So if business shifts to them, that appears as higher XTAC business to us, XTAC margin business. But also, to your point, it's also just between regions and specific publishers, the mix is just trending in a positive XTAC margin direction. So it's less to do with increasing yields right now although I'm hopeful that we'll see that also over time. It's more mix of business today.

MARK ZAGOKOWITZ Analyst, Benchmark

Okay, got it. Appreciate that. If I could just ask maybe one more, just maybe zeroing out here a bit. If you look at your rest, and this is more a topic on just geo-expansion, generally speaking, but your rest of the world is roughly 35% of revenue, and that grew quite nicely in fourth Q is up about 10%. which looks like it's the fastest growth you've seen in fourth quarter ex-Germany. I'm just curious if you can maybe talk about any dynamics that play there in 26 and how they compare to 25 in the rest of the world. Thanks.

STEVE WALKER Chief Financial Officer

Yeah, I mean, we're seeing nice, and by the way, you asked about margin and mix of business. That's part of it. Some of those other geos tend to be high margin for us. So as they grow, they tend to help with our overall margin picture. XTAC margin picture. So that's part of it. But also to your question about anything that we're seeing there. So we're seeing nice growth internationally. If you remember, we used to be about 40% U.S., 60% rest of world. And once we brought on Yahoo, we got back closer to 50% U.S., 50% rest of world. I think this past quarter, it was 47% U.S., 53% rest of world. I think we're going to continue to see faster growth internationally than we will in the U.S.

And that's just kind of normal because a lot of those markets we're still newer in. So we have more growth opportunities in a lot of those markets. So I think that's going to continue to be true as we go forward. So I think what you're seeing there is basically just a dynamic of less mature markets versus more mature markets and higher growth in the less mature markets.

MARK ZAGOKOWITZ Analyst, Benchmark

Got it. All right. Thanks, Steve. Appreciate it.

STEVE WALKER Chief Financial Officer

Sure.

OPERATOR Operator

Thank you for the question. Our next question comes from the line of Zach Cummins from B. Reilly Securities. The floor is yours.

ZACH CUMMINS Analyst, B. Riley Securities

Hi. Good morning, Adam and Steve. Thanks for taking my question. So just two for me. The first one, I thought it was a notable call out that you're I guess we'll say non-scaled advertisers still contributed about 1% to growth here in Q4, largely due to early adoption of the Realize platform. So any incremental data you can give around kind of how you're ramping the testing process, what tends to work best when quickly scaling up from these tests to expanding to more full budgets for some of these advertisers. And then second question, Steve, it seems like we have a greater shift of adjusted EBITDA going into the second half of this year versus what we saw in 2025. So can you give some context around maybe timing of investments or other factors we should consider when modeling that out?

STEVE WALKER Chief Financial Officer

Sure. So I think on your first question about the non-scaled advertisers, it was an interesting effect. So we saw a lot of testing budgets in Q4, and that drove 1% incremental growth, which is the first time you've seen that. In fact, if you look at the full year, non-scaled advertisers were basically down a bit year over year. So Q4 was unusual in that regard. But I think it's encouraging, because at the end of the day, what we do want is a bunch of advertisers coming on to test our platform. And Q4 is a good time for a lot of them to do that, because it's where they have some of their maximum budgets, and they're looking to test new things. So we found it encouraging. I'm hopeful that that translates into more revenue going forward, although we're not counting on that. But it was encouraging to see that. So that's kind of what we saw there. In terms of the EBITDA question that you had, I think the biggest impact on our EBITDA in Q1 in particular is that we have a headwind from foreign exchange rates. So I think I mentioned that in my prepared remarks that we have about an \$11 million headwind on OPEX as we head into 2026 due to foreign exchange rate, mostly the Israeli shekel. That hits first quarter and second quarter much more heavily than third quarter and fourth quarter because of the fact that if you look at how the shekel declined over the course of 2025, it really took a nosedive starting sometime in Q3. So that's one factor. We're also intentionally putting some of our marketing expense, especially where we're marketing to advertisers, up front in Q1 and Q2. So that's part of it. But in general, I think, you know, obviously our guidance reflects what we expect to happen over the course of the rest of the year on OPEX. And we do have some efficiency initiatives that are going on that we think can help us in the second half. So I think, you know, it's a little bit of some upfront costs that we knew were going to happen, foreign exchange rates, and then us expecting to get more efficient as we go through the year.

CONFERENCE MODERATOR

Great. Thanks for taking my questions. Thanks for the question. Our next question comes from James Koppelman from TD Cowen.

OPERATOR Operator

The floor is yours.

JAMES KOPPELMAN Analyst, TD Cowen

Hi, good morning, and thanks for taking the questions. First one for Adam. Given some ongoing macro uncertainty in the state of the U.S. consumer, what's your sense of conditions in the overall digital ad market, and what are you hearing from your conversations with advertisers regarding their plans for budget growth this year. And then another one for Adam. I just want to ask about the ARPU opportunity for publishers adopting AI on their sites. Where are we in that process and what kind of progress are you seeing with the publishers so far? And then I'll follow up with Steve as well.

ADAM SINGOLDA Founder and CEO

So in general, I think there's a significant kind of trend in the industry at large towards performance advertising. I mean, if you saw last year, we announced two extended partnerships, one with Paramount and one with LG, these are TV, big TV broadcasting companies that we're honored to be working with. And those partnerships are primarily around more ways for TV advertisers to get mid to low funnel metrics by working with Realize. That's a whole new type of demand opportunity for us. And remember, TV is \$100 billion market just in the US. So if we can take a piece of that and prove, much like I think Amazon is doing such a good job with Prime, showing that you can buy TV and at the same time through Amazon.com and the rest of the consumer journey, you can show the TV drive mid to low funnel metrics. And the reason I'm saying that is because I think for Taboola, there is a lot of growth opportunity because when you go beyond search and social, I think we can truly become kind of the monetization layer for the open web. The company that any advertiser and any company that's not Google and Facebook who needs someone that can generate conversions to work with. And Taboola is, I think, to my knowledge, the biggest and best conversion machine outside of Google and Facebook. So I think there's going to be a lot of growth for us in different ways, working with different types of companies as demand source. And it's really nice to see companies like Paramount and LG, and you'll see more throughout the year, kind of partnering with us and spending more with Realize. So I think we're on the right side of the industry. I think it's going to be much, much harder to be in the full funnel space or specifically in the top of the funnel space, and it's going to be much, much more important and critical, especially in this world with tariffs and things, to be the go-to company for anything outcomes, anything measurements, anything performance. So that's about that. And the second thing about ARPU, which I had many great conversations even yesterday with some of our bigger publishers, what we're seeing is that, so two things. One, will consumers ask questions? on a publisher site, they essentially become super, you become a super human, a super engaged consumer. You're much more likely to engage with an ad, you're much more likely to engage with a piece of content, you're the best version of yourself, and that's probably why I believe Google is very excited about Gemini, because if Google sees what we see with deeper dive on publisher sites, they know what we know, which is it's very lucrative piece of interaction with consumers for advertisers. And the second thing we're seeing, and we'll share more data about that later in the year, is that when advertisers show up in LLM experience, the opportunity for them to drive conversion and the CPMs we're seeing are something that I can tell you in 15 years of doing this, I've never seen before. So if we can scale that, if we can create a habit for consumers to talk to publishers they love, about, you know, I mentioned the Knicks. I love the Knicks. I will never spend five, ten minutes watching highlights and talk to Chez GPT about the Knicks. Never going to happen. But I do this every morning with my kid. You know, we watch ESPN. We get the highlights. We read about it. It's something we like to do. So if we can get those, you know,

trusted, loved publishers to offer AI so consumers can talk to them, I think that's going to be a beautiful future for them and for us and for advertisers.

JAMES KOPPELMAN Analyst, TD Cowen

question is can we create that habit and it's early stages for us but i'm encouraged by you know what i'm seeing uh great and then difference quickly for steve uh reduced the share count pretty significantly over 2025 um you know going forward how are you thinking about balancing investment with returns to shareholders especially given healthy free cash flow generation would you expect to continue to significantly shrink the share count and also on Connexity because you threw that in there a couple of questions ago. I just want to follow up. Any color on e-commerce growth, how that's trending relative to the rest of the business? Thanks.

STEVE WALKER Chief Financial Officer

So in terms of capital allocation and share buybacks, so we continue to expect to use the majority of our free cash flow for share repurchases. So I think we've said that we expect to convert 60% to 70% of our EBITDA into free cash flow, and then we expect to use a majority of that to buy back shares. So if you kind of look at our numbers and what we're guiding to this year and you do the math, you can figure out how much we're expecting to buy back roughly. We have \$180 million left in our authorization, so we've got plenty of capacity there. and that's where we expect to use most of our capital. I will note, and we've talked about this in the past, that there's a chance that we may do small M&A. It wouldn't be large, but it would be something that's more of a tuck-in acquisition. But beyond that, we expect to use a majority of our free cash flow for share repurchases. To your second question about e-commerce and how that's doing and connects to you relative to the rest of the business, So generally speaking, it's growing in line with the rest of the business. So I think they had a big Q4 for us, which was great. And I think generally we expect them to grow in line with the rest of our business. It's our biggest ICP segment, ideal customer profile segment, is e-commerce. So that's also great. It's where we see the most success out of any of our ICPs right now. So it's generally, it's a strong performing part of our business.

JAMES KOPPELMAN Analyst, TD Cowen

Great. Thanks a lot, guys. I appreciate it.

OPERATOR Operator

Sure. Thank you for your question. This does now conclude the Q&A portion of this session. I would now like to turn it back to Adam Singolda, CEO, for closing remarks.

ADAM SINGOLDA Founder and CEO

Thanks, everyone, for being with us this morning. As you can tell from our excitement, 2025 is was not just about building the numbers. It was a turning point for the company. It's a clear validation that Realize is working on our way to become the monetization layer for the open web. As Realize continues to gain traction with our proprietary intense data and deep distribution across the open web, all of those things make us really special. It makes us different in an AI-driven world. We believe these structural advantages position us to build and win the opportunity to become the leading performance advertising company beyond search and social. We're still early, but we're operating with a lot more clarity and more urgency than ever. Our focus remains simple. Make new advertisers stay and get existing ones to spend more. Thank you all for the trust and partnership, and we look forward to spending time over the next few weeks.

OPERATOR Operator

Thank you for your participation in today's conference. This does conclude the program. You may now disconnect.